

< Session 3 >

EMBA 60, Negotiations

FINAL OFFER, MULTI-PARTY NEGOTIATIONS, ETHICS

Hillary Anger Elfenbein

John and Ellen Wallace Distinguished Professor
of Organizational Behavior

EMBA



Washington University in St. Louis

Agenda for Today

1. Debrief: Final Offer
2. Debrief: Harborco
3. Multi-party Negotiation
4. Ethics
5. Preview Module 2 of VBDD Leadership

EMBA



Washington University in St. Louis

Final Offer: The Players

	USA	Canada
General Motors (GM)	Roger Smith (RS)	Rod Andrew (RA)
United Auto Workers (UAW)	Owen Bieber (OB)	Robert White (RW)
		-Phil Bennett
		-John Clout

EMBA



Washington University in St. Louis

Bob White's Methods

- "I told him I had access to a \$10M fund, but I don't have 10 cents actually"
- "I will wrap myself in the Canadian flag"
 - Renaming of Canadian annual improvement factor
- "I'm not here for them to like me"
- "Never tell me I'm betraying the membership"

Why did he use these methods?

Were they effective?

Were they ethical?

EMBA



Washington University in St. Louis

BATNA as a Key Source of Power

- *Most power in negotiation comes from what you are capable of doing if the negotiation fails.*
 - **Keep your options open**
 - Do what you can to increase your BATNA
 - **Let the other party know that you have options**
 - Can hint but never tell your reservation price
 - **Assess the other party's BATNA**
 - Gather as much information as you can

EMBA



Washington University in St. Louis

Other Sources of Negotiation Power

- **Information (especially about the other party's BATNA)**
- **Status**
 - Legitimate authority
 - Pseudostatus characteristics (unfortunately)
 - o Demographic background
 - o Physical appearance, including clothing and demeanor
- **Social networks: *whom* you know can matter as much as *what* you know**

EMBA



Washington University in St. Louis

Paradoxes of Power

- The one who has the most to win also has the most to lose
- If you don't have anything to lose, then you are free to make demands
- Power is "in the eye of the beholder"
 - Situational and perceptual
- Sometimes you can reduce your power by using it
 - Once you exercise your BATNA, it is gone (e.g., going on strike, withholding strike fund, closing plants, etc.)
 - (How did the Oshawa wild-cat strike affect the negotiations?)

EMBA



Washington University in St. Louis

Constituencies

Representing other parties who are "on your side"

- **Challenges for constituent relationships**
 - Accountability: deeper thinking vs. justifying
 - Conflicts of interest
- **Strategies for improving constituent relationships**
 - Really understand your constituents
 - Don't expect homogeneity of constituent views
 - Educate your constituents on your role and your limitations, and help them to think about possible outcomes

EMBA



Washington University in St. Louis

Some Lessons from Final Offer

- **Don't take negotiations as fixed situations: be proactive and change the game!**
- **It is hard to maintain battles on multiple fronts**
 - Decide how you want to sequence a complex task
- **Pay attention to the needs and interests of others in order to craft favorable agreements**
 - Helps you to know how to build coalitions and deals
 - Even if a threat hurts you, it helps to be able to frame in terms of the pain for the other side
- **Sometimes the real negotiations take place away from the table**
- **Although there should be a lot of analysis, there is also dynamic re-analysis over the course of negotiations**

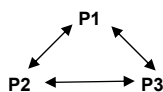
EMBA



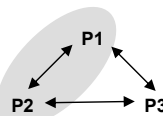
Washington University in St. Louis

Types of Multiparty Negotiation

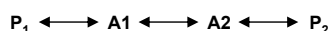
1. Multiparty



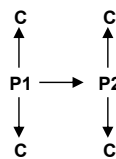
2. Coalitions



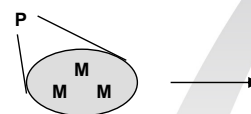
3. Principal-Agent



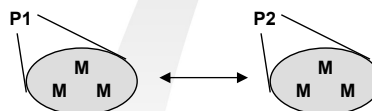
4. Constituencies



5. Team Negotiation



6. Intergroup



P, principal; I, intermediary; C, collateral party; M, group member

Figure 9-2 in Thompson MHN

EMBA



Washington University in St. Louis

Multiparty Negotiation Key Challenges

Each different party is acting in its own interest.

- 1. Increased demands for information processing**
 - Circular versus reciprocal “logrolling”
 - Not everyone wants an agreement
- 2. Greater need for explicit decision rules**
 - e.g., Voting: Majority vs. consensus rule vs. unilateral
- 3. More complex interpersonal process**
 - Coalitions
 - Communication breakdowns

PLUS same problems and biases of two-party negotiation

EMBA



Washington University in St. Louis

Multiparty Strategies

- **Mutual Strategy**
 - Focus on the interests of all in the group
 - Integrative bargaining on a larger scale
- **Coalitional Strategy**
 - Seek just enough similar others to construct an alternative that meets your collective interests
- **Individual Strategy**
 - Distributive bargaining on a larger scale
 - When it works often involves threats, deadlines, and/or disorganized counterparts

EMBA



Washington University in St. Louis

Types of Coalitions

- **Interest-based**
 - Partners have the same underlying goals
- **Position-based, aka “Strange bedfellows”**
 - Parties may agree or disagree across a range of issues, but they agree on this one issue
- **Mutual irrelevance**
 - Parties take turns voting for each other’s preferences because other’s interests do not concern them

EMBA



Washington University in St. Louis

Building a Winning Coalition

- **Analyze coalition partners in advance**
 - Potential allies and potential (co-) spoilers
 - How many partners do you need?
- **Think through sequencing**
 - Make contact early
 - What order to approach potential partners
 - When to stake out a position
- **Think strategically, but act opportunistically**
 - Expect to be surprised and modify your approach
 - Beware of bias to keep coalitions intact

EMBA



Washington University in St. Louis

Multiparty Best Practices

- **Negotiate how you will negotiate**
- **Stay organized**
 - Process roles such as timekeeper, scribe
- **Manage the flow of offers**
 - Make many proposals (and keep track)
 - Keep issues bundled
- **Strive to be inclusive hearing from all sides...**
- **...yet don't go overboard**
 - Avoid “agreement bias” and “equal shares bias”

EMBA



Washington University in St. Louis

Disney's Land Acquisition Strategy

- **What did you think of Disney's strategies in Orlando?**
- **Why did Disney's approach work well in Orlando yet fail miserably in Virginia?**

EMBA



Washington University in St. Louis

Why Care about Negotiation Ethics?

- Sleep well at night
- Maintain a good professional reputation
- Avoid legal action

EMBA



Washington University in St. Louis

Personal Integrity

- *Negotiating using a thoughtful set of personal values that you could, if necessary, explain and defend to others.*
- Minimum standard: Obey the law
 - US definition of fraud: (1) knowing (2) misrepresentation of a (3) material (4) fact (5) on which the victim reasonably relies (6) causing damages
 - Includes promissory fraud: lies regarding intentions
 - In some situations, includes sins of omission
 - Often, fraud is verbal and then the real facts are written into the contract: read before signing

Source: Shell (1999)

EMBA



Washington University in St. Louis

Ethics: The “SINS” Scale

Tactic	Mean	SD
<i>Traditional bargaining tactics</i> e.g., highly optimistic opening offers, pretending not to be in a hurry	5.59	1.15
<i>Attacking a counterpart's network</i> e.g., attempts to make a counterpart look weak or foolish in front of their colleagues, trying to get them fired	2.04	1.01
<i>Making false promises</i> e.g., offers that the negotiator knows will not be honored	1.78	0.75
<i>Misrepresenting information</i> e.g., presenting false information or denying the validity of truthful information, misrepresenting the progress of a negotiation	3.04	1.13
<i>Inappropriate information gathering</i> e.g., paying former employees to reveal information, cultivating an insincere friendship with the counterpart	2.81	1.27

Notice the variance in beliefs! (Scale 1-7)

Source: Robinson et al. (2000)

EMBA



Washington University in St. Louis

Ethics: Questionable Strategies

- Misrepresentation of your position
 - Includes “sins of omission”
- Bluffing
- Falsification
- Selective disclosure or misrepresentation to constituencies
- Hardball tactics in competitive bargaining
- Manipulation of opponent's network
- Reneging on an informal agreement
- Retracting an offer
- Nickel-and-diming after an agreement
- Decoy issues
- Fake authority ploys
- Good-guy-bad-guy
- Reciprocity ploys

Add'l Source: Shell (1999)

EMBA



Washington University in St. Louis

Questions to Ask Yourself

- Can you respect yourself?
- Would you be willing to explain and defend your actions?
- Would you be embarrassed if other people found out what you did? (i.e., your parents, friends, co-workers)
- If your counterpart found out more details, would he or she want contact with you again in the future?
- How would you feel if it were done to you? (the “golden rule”)
- Who is hurt?
- Would you design a system that allows this tactic, if your role is as yet undetermined?
- Would you advise your little sister or brother to do the same?

EMBA



Washington University in St. Louis

Others' Unethical Behavior

- **Highest risk from one-time transactions, so rely on relationships when possible**
 - On guard when stakes matter and relationship doesn't
 - Investigate their reputation
- **Probe about facts, especially when skeptical**
- **Be assertive and persistent**
- **Maintain your own standards—don't sink to theirs**
 - Be ready to walk away
- **Shell's list of defensive techniques** (pp. 230-2)

Source: Shell (1999)

EMBA



Washington University in St. Louis